

Why You Should Cut Your Losses and Let Your Profits Run

	<i>Metals fabricator</i>	<i>European bank</i>	<i>Small private pool</i>
Amount invested	\$105,000	\$100,000	\$18,000
Percent profitable trades	34%	21%	65%
Gained	—	—	\$112,000
Lost	\$135,000	\$54,500	—
Average loss	\$6,844	\$4,156	\$515
Loss if limited to 45% margin	\$9,232	\$6,719	—
Average loss if limited to 45% margin	\$1,340	\$634	—

And here is the trading record of a highly sophisticated European bank whose commodity department used to send me its orders for execution on our exchanges. Starting capital was \$100,000. After 13 months, it had been reduced to \$45,500, at which time the bank discharged its local trader and quit speculative trading.

COULD'VE STAYED IN

During those 13 months, three of the 14 total trades were profitable, the rest resulting in losses. The average profit was \$255, while the average loss was \$4,156. Had the bank lim-